

Walker Stone

1/26/25

Econ 430

Empirical Project 1

Economic Mobility in Los Gatos, CA

How does growing up in Los Gatos, CA change a child's future income? Economic mobility is the ability for individuals to improve their economic status, relative to their parents. Economic mobility can be seen in many cities and states across the U.S., shockingly it is also observable in my hometown, Los Gatos, CA. So fascinating how with the tool Opportunity Atlas gives us to be able to observe economic trends in our hometowns. The utilization of Opportunity Atlas allows us to understand the economic mobility between children from low-income households and children from high-income households. For low-income child we focus on the possibility of upward mobility and for high-income children we look for if any experienced downward mobility. This R analysis details the economic mobility in Los Gatos, CA to statewide and nationwide economic mobility. We find this by looking at the different factors that affect racial income differences, policies, and economic indicators. In this report, Opportunity Atlas

will be optimized for Los Gatos, CA to find and depict the economic mobility in that area.

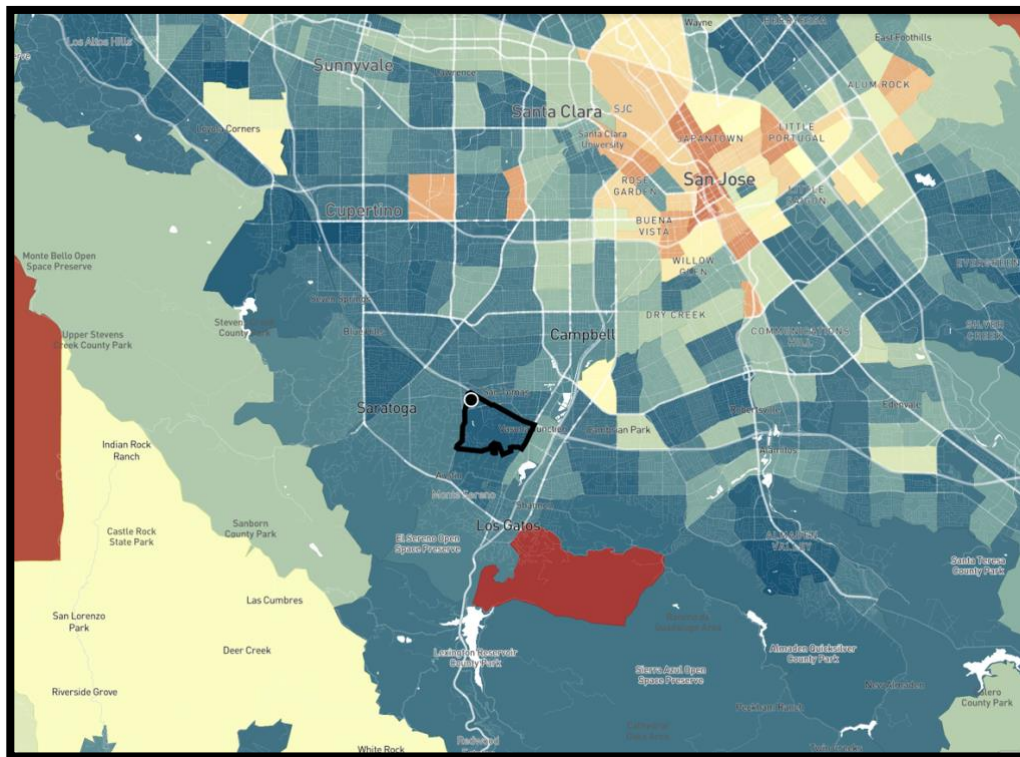


Figure 1. Opportunity Atlas Map for Los Gatos (25th Percentile)

The Atlas map above shows the income level of people who were born into low-income families (25th percentile) is about \$55k at the ages 31-37. How does this compare to economic mobility across state and nation, from atlas dataset, the average income for the 25th percentile statewide is about \$52k, while nationwide is about \$34k, which means that we see strong upward mobility in Los Gatos and California as a state compared to nationwide. Also interesting to note that in this county almost everywhere but the major city, San Jose, has a strong upward mobility. San Jose for the most part has downward mobility; this could be due to the difference in population in each tract. For example, the Los Gatos tract would have a couple tens or hundreds of thousands less than San Jose. Also, we could see the effect of high poverty in San Jose driving the economic mobility downwards.

Overall, the trends seen from the average adult income (25th percentile), were that in Los Gatos, children from low-income households earn \$54,806.22 which is higher than both state and nation averages. Mobility in Los Gatos has a better trend in economic mobility than California, which children from low-income households earn \$52,367.90 and nationwide which children from low-income families only make \$34,31. Which shows that Los Gatos has only slightly better trend then the state of California. Many factors could decide this trend, but the more probable factors are economic opportunities in the area and education.

Next observation in this report comes from the average income of children who came from high-income families, which are families that are a part of the 75th and 100th percentile. For children from the 75th percentile in Los Gatos we saw an average of \$65,255.65 and for 100th percentile we found an average of \$74,523.54. For California's 75th percentile we found an average of \$48,995.07 and for 100th percentile we saw an average of \$62,346.79. Lastly, for the 75th percentile nationwide there was an average of \$51,284.03, and for 100th percentile it was \$69,218.15. This data details that downward mobility is very low in Los Gatos because children from the high-income families earn more on average than nationwide high-income children, the same goes for state. Since the downward mobility is low in Los Gatos, we see that economic stability for wealthy families is present in Los Gatos. Los gatos, also has the highest average for the 100th percentile group, so the idea of economic stability and low downward mobility are also present for wealthy families in the 100th percentile in Los Gatos.

Using R regression analysis to find out if there is a relationship between low- and high-income children outcomes, to find this we regressed the 75th percentile group from Santa Clara with the 25th percentile group also from Santa Clara. With the 75th percentile group as the Y variable and the 25th percentile group as the X variable, we do this analysis to find if areas with

strong mobility for low-income children have good outcomes for high-income children as well. From this regression we observed that the beta1 coefficient for the 25th percentile group is about 6.351, with a significance level less than 0.05, means that upward mobility for low-income children is associated with greater outcomes for high-income children. This means that even if low-income children experience an upwards shift in income, then the high-income children will experience a greater upward shift due to the economic factors in place in Los Gatos that allow high-income children to benefit more.

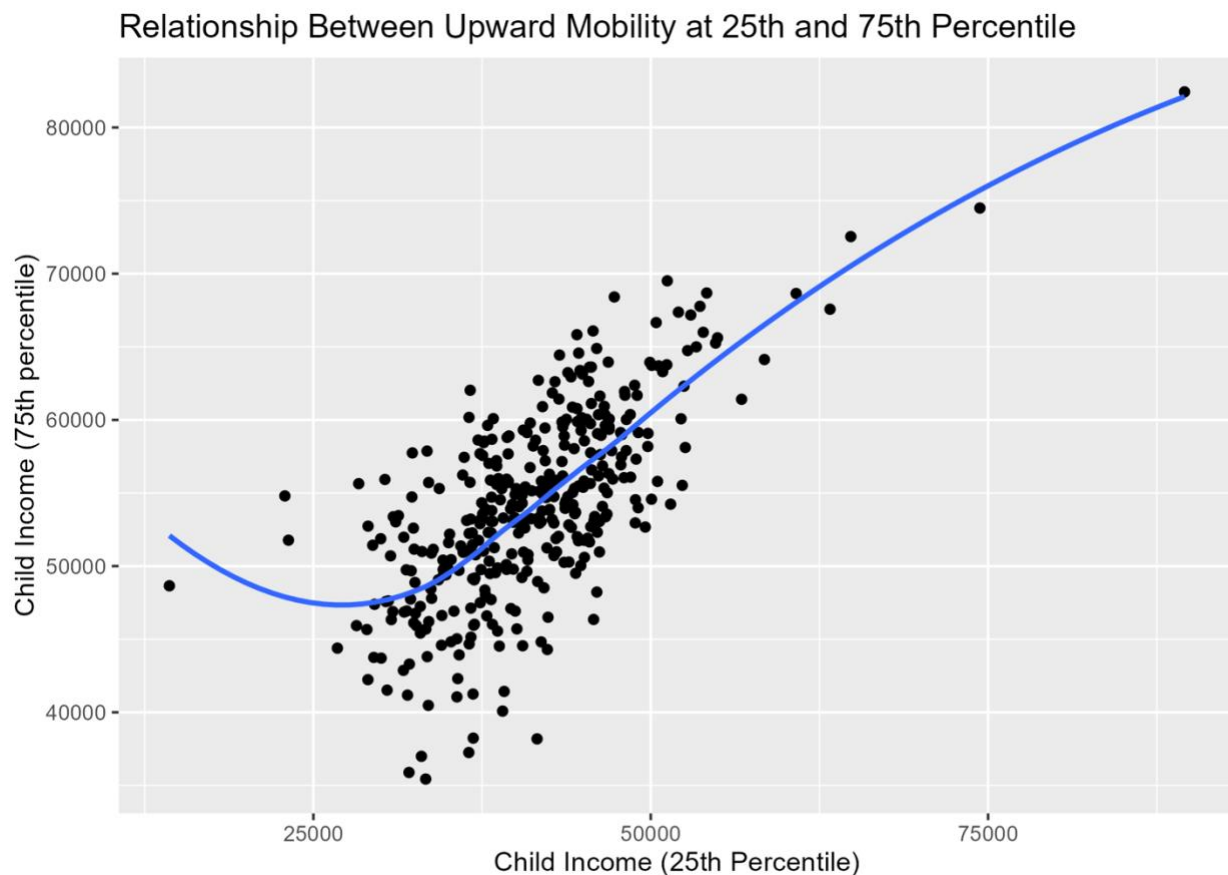


Figure 2 Relationship Between 25th & 75th Percentile Groups (Image from R)

Racial differences in Santa Clara County are found through making models to observe each race income relationship in Santa Clara. This was done by finding each average income per race in Santa Clara County then comparing them to each other to find any disparities. In these

findings we found that the Black average income is \$28,324.06, Hispanic average income is \$36,367, White average income is \$44,415.92, and lastly Asian average income is \$58,583.41. This data represents that there are economic differences between races due to the huge disparity in average incomes. Asians have the highest economic upward mobility and African Americans have the lowest economic upward mobility.

Last part of this R report is the hypothesis testing for any correlations between economic factors in Santa Clara and mobility. The correlations that were focused on were single parent household and job density, two very common factors in deciding economic mobility for counties, cities or countries. For single parent households we saw that correlation with mobility (cor) equaled about -0.3149, with a p-value of $5.495e-10$, meaning that single parent household does correlate with less economic mobility. For job density, we observed a correlation value of -0.1347, with a p-value of 0.009372, tells us that job density has a negative correlation for mobility in Santa Clara, so the more jobs there are the less mobility and vice versa.

In conclusion, Los Gatos, CA is a very high mobility economic environment compared to the U.S. Mobility in Los Gatos and Santa Clara is significantly impacted by race and parental income for children who grow up there. We also, observed that there is significant negative correlation with mobility for job density and family structure in Santa Clara. Future research could focus on potential policies to help with equality in the economic mobility in Santa Clara and Los Gatos. Future policies could have something to do with early education and programs made to reduce racial differences in mobility. Overall, the correlation of job density and family structure does not mean causation, just shows significant data to give evidence of correlation. Further research could take into account causal experiments to help understand economic mobility in Los Gatos and Santa Clara.

Citations

- *Los Gatos Income Data*. Opportunityatlas.org. (n.d.). <https://www.opportunityatlas.org/>

[Empirical Project R code html](#)